

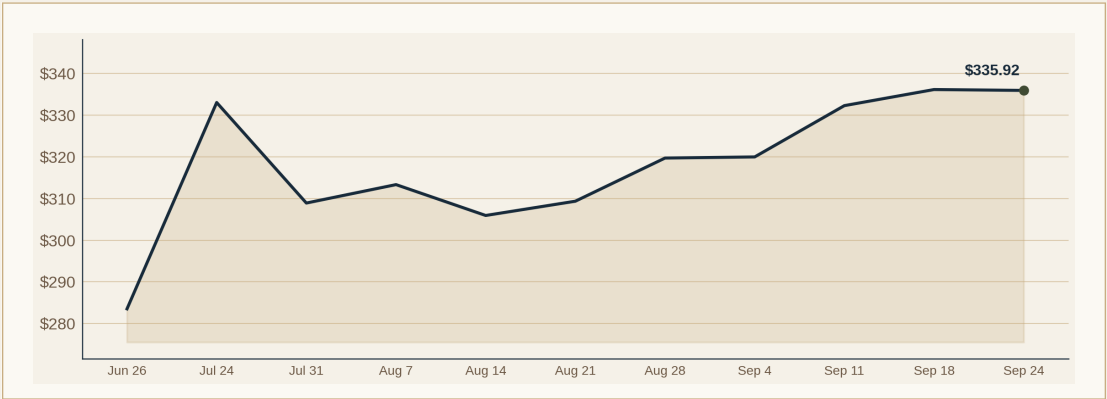
Apple

Apple Inc.

NASDAQ: AAPL · United States

\$335.92

Closing price, 24 September 2026 · Market capitalization: \$4.90 trillion



AAPL share price, weekly closing levels, 26 June 2026 to 24 September 2026. Source: StockAnalysis.com market data.

Executive Summary

Business

Apple designs, manufactures and markets personal computing and communication devices, principally the iPhone, Mac, iPad and a wearables line, and monetizes its installed base through a growing Services segment spanning the App Store, advertising, AppleCare, cloud storage, payment services and subscription content. The iPhone remains the primary revenue and profit engine, complemented by a Services business that now generates higher-margin, more recurring revenue as the device base matures. Apple sells to consumers, small and mid-sized businesses, and education and enterprise customers through its own retail and online stores and through carriers, wholesalers and resellers worldwide.

Geographically, revenue is diversified across the Americas, Europe, Greater China, Japan and the rest of Asia-Pacific, with the Americas and Europe the two largest and fastest-growing regions in fiscal 2025, while Greater China revenue declined as local competition intensified.

Financial Condition

Fiscal 2025 revenue reached \$416.2 billion, up 6.4 percent, with gross margin expanding to 46.9 percent and operating margin to 32.0 percent as the Services mix increased. Net income was \$112.0 billion and diluted earnings per share \$7.46, both up sharply from fiscal 2024, aided by margin expansion and continued share reduction.

Operating cash flow was \$111.5 billion and free cash flow \$98.8 billion in fiscal 2025, funding \$15.4 billion of dividends and \$96.7 billion of share repurchases. Apple ended fiscal 2025 with \$20.0 billion of net debt on a gross-debt basis, and reported a net cash position of roughly \$62 billion as of the most recent quarter, reflecting continued deleveraging.

Market Position

Apple's principal competitors are Samsung Electronics and, at the operating-system and services layer, Alphabet's Google and Microsoft; each competes for a different slice of Apple's stack rather than replicating it wholesale. Apple's chief competitive advantage is the depth of its hardware, software and services integration, which supports premium pricing and industry-leading customer retention. Its chief competitive weakness is a comparatively high reliance on a single hardware category, the iPhone, and geographic concentration of manufacturing and a meaningful revenue base in China, a market where local competitors have gained share.

Valuation

At the report date, Apple's market capitalization was approximately \$4.90 trillion and enterprise value approximately \$4.84 trillion (net cash reduces enterprise value below market capitalization). The stock trades at a trailing price-to-earnings ratio of 38.5 times, a forward price-to-earnings ratio of 36.5 times, an EV/EBITDA multiple of 28.8 times, and a free-cash-flow multiple (price to free cash flow) of 35.9 times, all above Apple's own five-year historical averages and above most direct peers on an earnings basis.

Investment Framework

WHAT IS ATTRACTIVE	A durable installed base of more than two billion active devices, accelerating high-margin Services revenue, industry-leading free cash flow conversion, and a capital-return program returning effectively all annual free cash flow to shareholders.
WHAT IS CONCERNING	A valuation that sits well above Apple's own historical trading range and above most large-capitalization technology peers on a price-to-earnings basis, combined with a maturing iPhone replacement cycle and a still-unresolved competitive answer in on-device artificial intelligence relative to some peers.
WHAT MUST GO RIGHT	Continued Services growth at or above the mid-teens percentage pace, stabilization or recovery of Greater China revenue, and a successful new hardware cycle (larger-screen and foldable form factors, on-device intelligence features) that sustains iPhone average selling prices.
WHAT COULD BREAK THE THESIS	A structural slowdown in iPhone replacement cycles, a sustained loss of share in China, adverse regulatory outcomes on App Store economics in the United States and European Union, or a multiple compression event unrelated to fundamentals given the stock's premium starting valuation.
WHAT APPEARS PRICED IN	The current share price embeds substantially more optimistic long-run cash-flow growth, or a substantially lower discount rate, than a conventional discounted-cash-flow framework using Apple's own recent growth and margin trends would support, implying the market is pricing continued execution at a very high standard, discussed in Section B3.

Investment Profile

BUSINESS QUALITY	Very high. Integrated hardware, software and services ecosystem with high switching costs and a large recurring-revenue base.
FINANCIAL QUALITY	Very high. Elite margins, high cash conversion, and among the highest returns on invested capital of any large-capitalization company.
COMPETITIVE POSITION	Strong in premium hardware and services; more contested in China and in generative artificial intelligence positioning.
GROWTH PROFILE	Moderate. High single-digit to low double-digit revenue growth, Services-led, against a large and mature revenue base.
BALANCE-SHEET RISK	Low. Investment-grade balance sheet with a net cash position on a trailing basis and ample interest coverage.
VALUATION	Elevated relative to Apple's own history and to large-capitalization technology peers on a price-to-earnings basis.
MARKET AND TECHNICAL PROFILE	Constructive. The stock trades above both its 50-day and 200-day moving averages, with 2026 year-to-date performance ahead of the broad market.

A. About the Business

A1. Business Environment

Apple operates at the intersection of two industries: consumer electronics hardware and digital services. The hardware industry is capital-light for a brand owner like Apple, which designs devices but outsources nearly all manufacturing to contract assemblers in Asia, while the services industry monetizes an installed base of devices through software distribution, subscriptions, advertising and payments. The combined value chain runs from component suppliers (semiconductors, displays, memory, camera modules) through contract manufacturing, to Apple's own design, software and retail layer, and finally to the end consumer and enterprise customer.

The global smartphone and personal computing hardware market is large but mature, with unit shipments roughly flat to modestly growing worldwide and replacement cycles lengthening as device durability improves. Growth in the hardware industry is increasingly driven by average selling price rather than unit volume, favoring premium manufacturers such as Apple and Samsung over volume-focused competitors. The digital services layer that sits atop this hardware base, by contrast, continues to grow at a double-digit pace, driven by subscription content, cloud storage, financial services and advertising, and carries substantially higher incremental margins than hardware.

Revenue pools in the industry are concentrated at the premium end: a small number of manufacturers, Apple foremost among them, capture a disproportionate share of industry operating profit despite selling a minority of unit volume. Cost pools are concentrated in semiconductor fabrication, advanced display manufacturing and precision assembly, most of which sits with a small number of Asian suppliers and assemblers, creating a supply chain that is capital-intensive for Apple's partners even though it is not capital-intensive on Apple's own balance sheet.

The industry is moderately cyclical, tracking consumer discretionary spending and currency movements, and is subject to meaningful regulatory attention, particularly around app-store economics, data privacy and antitrust in the United States, the European Union, China, South Korea and Japan. Technological dependence is high and rising, as on-device artificial intelligence, custom silicon design and advanced packaging become key differentiators.

INDUSTRY STAGE CLASSIFICATION: Mature, with a structurally transforming services layer. Reasoned: global smartphone unit volumes have plateaued and premium hardware replacement cycles have lengthened, which is characteristic of a mature hardware industry, while the parallel growth of subscription services, on-device artificial intelligence and digital payments is reshaping how value is captured within that same installed base, a structural rather than cyclical shift.

A2. What Does the Company Do?

Apple's business can be explained to a new employee in five product families and one services family. The iPhone is a smartphone sold across multiple tiers of price and specification; the Mac is a line of personal computers; the iPad is a line of tablets; Wearables, Home and Accessories covers the Apple Watch, AirPods and home devices; and Services covers the App Store, Apple Music, Apple TV+, iCloud, AppleCare, Apple Pay and Apple's advertising business. Devices are sold directly to consumers through Apple's own retail and online stores, and indirectly through wireless carriers, retailers and resellers; enterprise and education customers are served through both channels plus a dedicated enterprise sales effort.

Pricing follows a tiered structure within each product line, from entry-level to professional configurations, supporting a wide range of price points while preserving premium positioning at the top of each range. The substantial majority of product revenue is transactional and non-recurring at the point of sale, while Services revenue is predominantly recurring, billed through subscriptions or ongoing transaction fees. Unit economics differ sharply between the two: hardware gross margins run in the high thirties to low forties percent, while Services gross margins run above 70 percent, which is the primary driver of Apple's overall gross margin expansion as Services grows as a share of revenue.

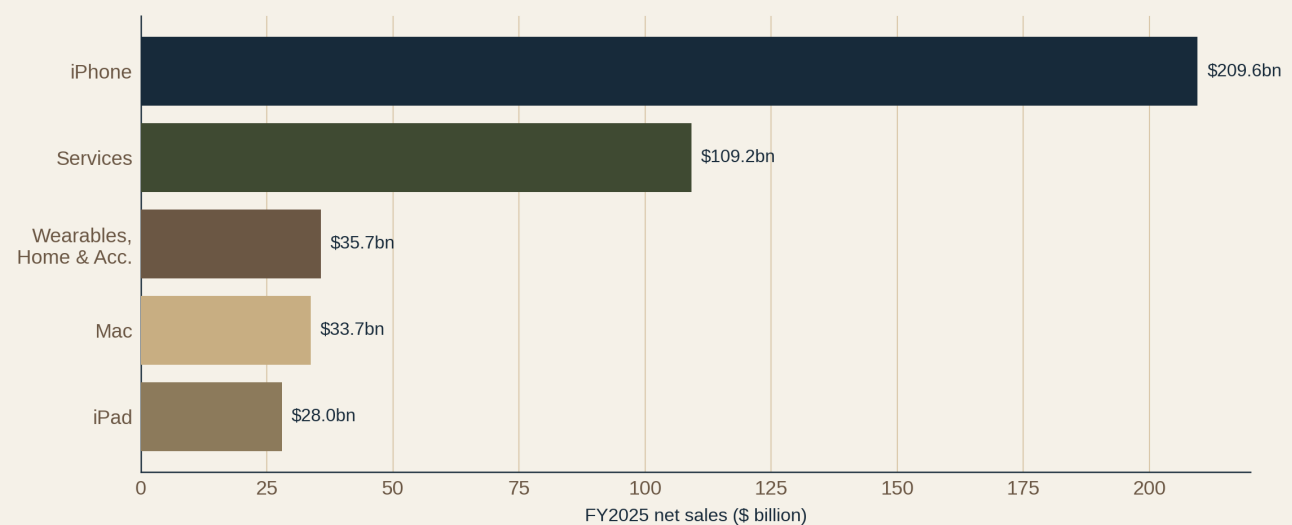
Major operating costs are cost of hardware components and contract manufacturing, research and development (concentrated in silicon design, software engineering and future product categories), and selling, general and administrative expense tied to Apple's global retail footprint and marketing. Capital requirements at the corporate level are modest relative to revenue; Apple's capital expenditure is a small single-digit percentage of revenue because manufacturing capital intensity sits with its contract manufacturing partners rather than on Apple's own balance sheet, though Apple does fund significant supplier tooling and, more recently, data-center and custom-silicon capacity to support Services and on-device and cloud artificial intelligence features.

CUSTOMER	PRODUCT AND SERVICE	REVENUE	COSTS	OPERATING PROFIT	CASH FLOW AND CAPITAL ALLOCATION
Consumers, small and mid-sized businesses, enterprise and education buyers, reached through Apple retail, apple.com, carriers and resellers.	iPhone, Mac, iPad, Wearables, and a growing Services layer: App Store, subscriptions, cloud, payments and advertising.	Transactional hardware revenue at point of sale; recurring, higher-margin Services revenue billed monthly or annually.	Components and contract manufacturing, research and development, global retail and marketing, and Services content and infrastructure costs.	Operating margin of 32.0 percent in fiscal 2025, expanding as the higher-margin Services mix increases.	Free cash flow of \$98.8 billion in fiscal 2025, returned almost entirely to shareholders through dividends and buybacks, with modest reinvestment in supplier capacity and silicon design.

Reasoned: operating-model flow constructed by the analyst from Apple's fiscal 2025 Form 10-K and quarterly disclosures.

The most economically important parts of this model are, in order, the iPhone's ability to sustain average selling prices at scale, which funds the rest of the ecosystem, and the Services layer's capacity to monetize the resulting installed base at high incremental margin once a device is sold; together, these two dynamics explain nearly all of the margin expansion Apple has delivered since fiscal 2021.

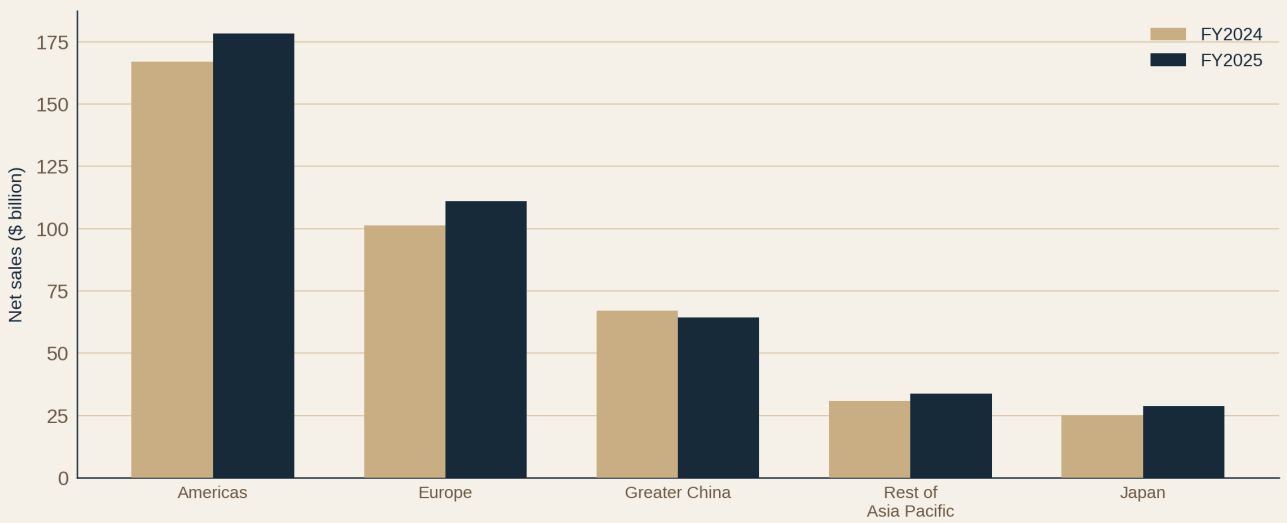
Revenue by Product and Service Category, Fiscal Year 2025



Source: Apple Inc., fiscal 2025 fourth-quarter and full-year Consolidated Financial Statements.

Geographically, the Americas and Europe were both larger and grew faster in fiscal 2025 than Greater China, which declined year over year as local smartphone manufacturers gained share; Japan and the rest of Asia-Pacific were the fastest-growing regions in percentage terms, albeit from a smaller base.

Revenue by Geographic Segment, Fiscal Years 2024 and 2025

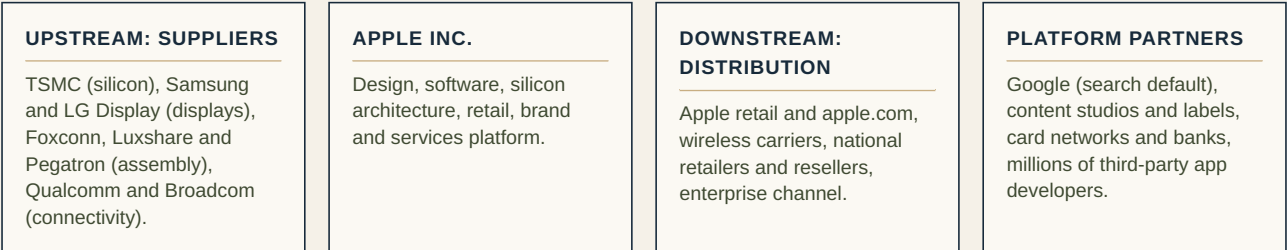


Source: Apple Inc., fiscal 2025 fourth-quarter and full-year Consolidated Financial Statements.

A3. Business and Relationship Network

Apple's ecosystem spans component suppliers, contract manufacturers, distribution partners, technology and content partners, and a large base of third-party software developers. Taiwan Semiconductor Manufacturing Company fabricates the custom silicon at the center of every Apple device; Foxconn (Hon Hai Precision Industry), Luxshare and Pegatron perform the majority of final assembly; Samsung Electronics and LG Display are key suppliers of displays and memory despite competing with Apple at the finished-device level; and Qualcomm and Broadcom supply modem and connectivity components. On the distribution side, wireless carriers such as AT&T, Verizon and T-Mobile in the United States, and their international counterparts, remain important channels for iPhone sales alongside Apple's own retail stores and website.

On the services side, Apple maintains a long-running agreement under which Alphabet's Google pays Apple to be the default search engine in Safari, a relationship that has drawn regulatory scrutiny in both the United States and European Union; Apple also partners with major content owners (studios, labels and publishers) for Apple TV+, Apple Music and Apple News, and with banks and card networks for Apple Pay and the Apple Card. Millions of third-party developers distribute software through the App Store, a relationship that is both a major source of Services revenue, through commissions, and a source of regulatory and legal risk given ongoing disputes over the commission structure. Apple's largest disclosed shareholders are large index and active asset managers, including Vanguard and BlackRock, reflecting the stock's status as a core holding across most major equity benchmarks.



Reasoned: relationship network compiled by the analyst from company disclosures and public reporting on Apple's principal suppliers and partners.

A4. Competition

Apple's most economically relevant competitors differ by product line. In smartphones, the direct competitor is Samsung Electronics, which competes across price tiers and, unlike Apple, also supplies components (displays, memory) to Apple

itself. In personal computers, Apple's Mac competes indirectly against the broad Windows personal-computer ecosystem, including Dell, HP and Lenovo, though Apple has been gaining share in the premium segment behind its own silicon. In mobile operating systems and app distribution, the relevant competitor is Alphabet's Google through Android and the Google Play Store. In digital services and artificial intelligence, Apple increasingly competes with Google, Microsoft and Amazon for consumer attention, cloud infrastructure and generative artificial intelligence features, even though none of these companies competes with Apple's device hardware directly.

COMPETITIVE COMPARISON, SELECTED PEERS

Company	What they sell	Target customer	Geographic exposure	Major advantage	Major disadvantage
Apple	Integrated hardware, software and services	Premium consumer, prosumer, enterprise	Global, Americas and Europe largest	Ecosystem integration and brand pricing power	Concentration in iPhone and China exposure
Samsung Electronics	Smartphones, displays, memory chips	Mass market to premium consumer	Global, strong in emerging markets	Vertical integration into components	Lower average selling prices and thinner device margins
Alphabet (Google)	Android operating system, search, cloud, artificial intelligence	Global consumer and enterprise	Global	Search and advertising scale, Android distribution	No comparable premium hardware franchise or brand pricing power
Microsoft	Windows, Office, Azure cloud, artificial intelligence	Enterprise and consumer productivity	Global, enterprise-weighted	Deep enterprise relationships and cloud scale	Limited presence in premium mobile hardware

Reasoned: comparison constructed by the analyst; competitors selected for genuine overlap in customers, distribution or capital rather than shared industry classification alone.

A5. Competitive Differences

Apple's advantages are structural rather than temporary. The integration of proprietary silicon, operating system and services creates switching costs that are difficult for any single competitor to replicate, because doing so requires simultaneous excellence in chip design, software and retail experience. Brand strength supports pricing power that is unusual in a hardware category prone to commoditization, evidenced by gross margins on hardware that remain well above most computer and smartphone peers. Scale in retail and supply-chain management gives Apple negotiating leverage over component suppliers that smaller competitors lack.

Disadvantages are concentration-related rather than structural. Revenue remains heavily weighted to a single hardware category, and a meaningful share of both manufacturing and end-market revenue is exposed to China, a market where geopolitical and competitive risk has increased. Apple's Services business, while growing quickly, is smaller than the advertising and cloud businesses of Google, Microsoft and Amazon, so Apple has less scale in the infrastructure that underpins large-scale generative artificial intelligence.

MOAT ASSESSMENT: **Strong.** Reasoned: switching costs, brand pricing power and ecosystem lock-in are durable and have persisted through multiple product cycles and leadership transitions, though the moat is not rated Very Strong because Apple's exposure to a single hardware category and to Chinese consumer and manufacturing risk introduces a structural vulnerability that pure software or infrastructure competitors do not share.

A6. Industry Trend

Global smartphone and personal-computer unit volumes have been broadly flat over the past several years as replacement cycles lengthen, while average selling prices and services attach rates have risen, a trend that favors premium manufacturers. Within this backdrop, on-device generative artificial intelligence has emerged as the industry's primary new demand driver, with manufacturers racing to differentiate through assistant features, and this is beginning to support earlier device upgrades among consumers who prioritize the newest capabilities. Regulatory pressure on app-store commissions and default-service arrangements is a structural, not cyclical, trend across the United States, European Union and other jurisdictions, and is gradually reshaping the economics of Apple's Services business, notably around alternative app distribution required in the European Union.

INDUSTRY TREND CLASSIFICATION: Mature and consolidating in hardware, with a structurally transforming services and artificial intelligence layer. This could reverse if a genuinely new device category (for example, spatial computing or advanced wearables) drove a fresh replacement cycle across the installed base, or if regulatory intervention structurally reduced Services economics faster than new revenue streams could replace them.

A7. Management

Apple completed a planned leadership transition effective 1 September 2026. Tim Cook, Apple's chief executive officer since 2011, moved to the role of executive chairman, a transition announced on 20 April 2026 to take effect over the summer. John Ternus, previously senior vice president of hardware engineering and an Apple employee since 2001, became chief executive officer. Arthur Levinson moved from non-executive chairman to lead independent director. Kevan Parekh has served as chief financial officer since January 2025, having joined Apple in 2013 and previously led financial planning and analysis, succeeding Luca Maestri.

Evaluated against capital allocation, the outgoing and incoming leadership teams have pursued a consistent policy of returning nearly all free cash flow to shareholders through buybacks and a modest, growing dividend, funding only selective research and development and supplier capital rather than large acquisitions; the board's authorization of an additional \$100 billion of share repurchases alongside Apple's fiscal second-quarter 2026 results, announced on 30 April 2026, continued this pattern. Management's public commentary at the time of the leadership transition emphasized continuity of financial discipline, with the incoming chief executive and chief financial officer both explicitly framing their approach as an extension of the prior regime rather than a change in direction.

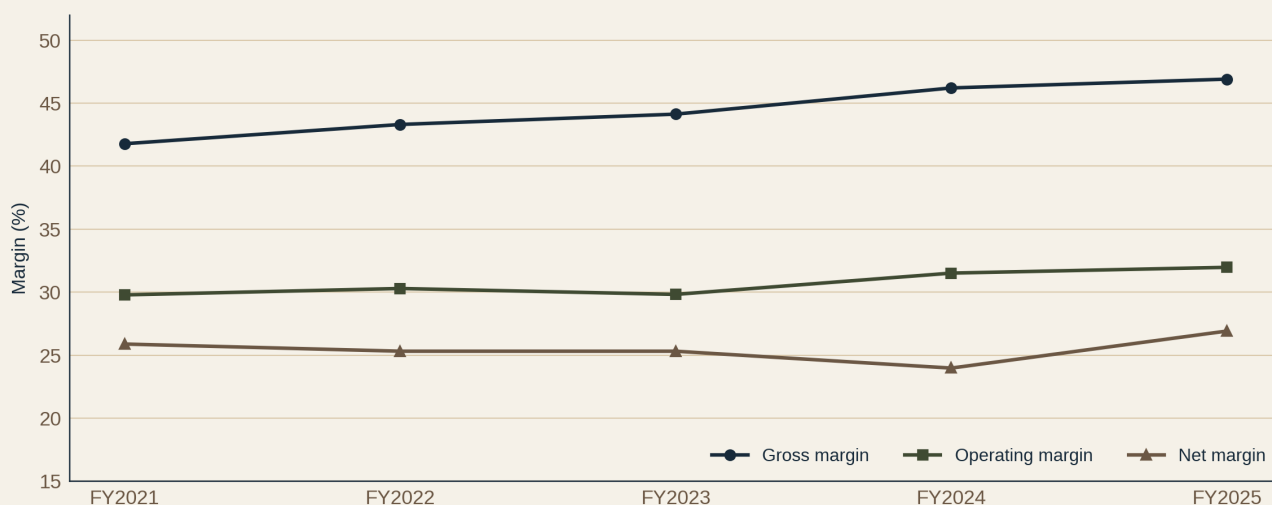
Insider ownership is modest in percentage terms relative to Apple's market capitalization, consistent with a company of this scale, though absolute equity holdings and compensation for the senior team are large in dollar terms and structured with a substantial equity component, aligning incentives with shareholder returns. Reasoned: on the evidence available at the report date, management behavior, capital discipline and public communication around the leadership transition appear broadly aligned with shareholder interests, though the transition itself, only three weeks old at the report date, has not yet been tested by a full product or earnings cycle under the new chief executive.

B. Evaluation

B1. Financial and Operating Metrics

Apple's profitability metrics rank among the highest of any company at its scale. Gross margin has expanded from 41.8 percent in fiscal 2021 to 46.9 percent in fiscal 2025, driven by the rising Services mix, while operating margin has expanded from 29.8 percent to 32.0 percent over the same period. Net margin reached 26.9 percent in fiscal 2025, its highest level in the five-year window, reflecting both operating leverage and a lower effective tax rate in the year.

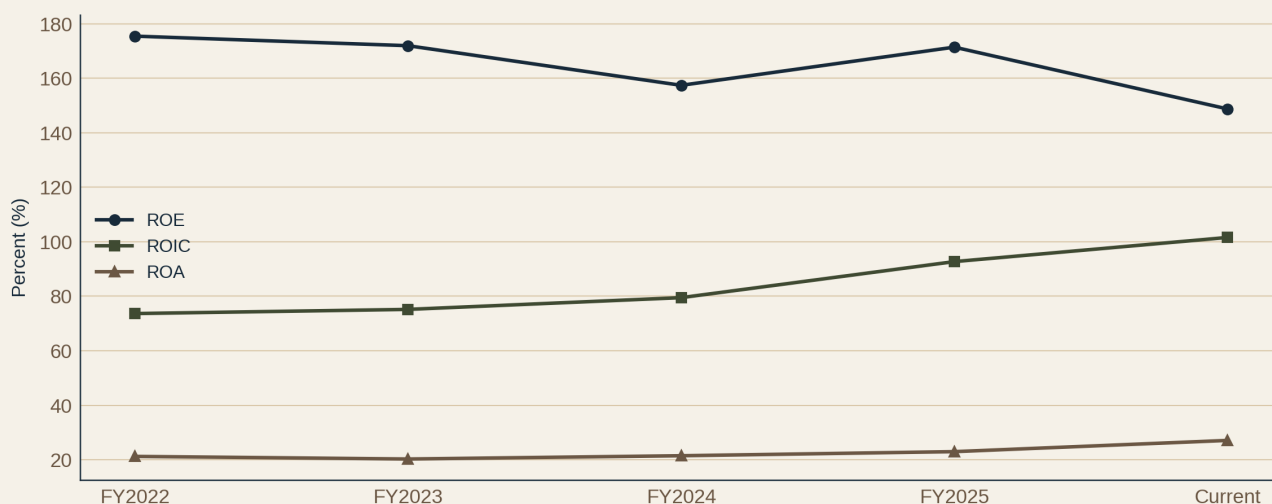
Margin Trend, Fiscal Years 2021 to 2025



Source: Apple Inc. Form 10-K filings, fiscal years 2021 through 2025; figures as reported under United States GAAP.

Return metrics are exceptional and, in the case of return on equity, distorted upward by a small equity base resulting from years of buyback-funded share reduction; return on invested capital, a cleaner measure given Apple's low leverage, has risen from roughly 74 percent in fiscal 2022 to above 90 percent on a trailing basis, reflecting the asset-light nature of Apple's manufacturing model and its high incremental margins.

Return on Equity, Invested Capital and Assets



Calculated: return on equity, return on invested capital and return on assets, fiscal years 2022 through 2025 and trailing twelve months. Source: company filings; calculations by StockAnalysis.com, cross-checked against reported net income, invested capital and total assets.

SELECTED EFFICIENCY AND LEVERAGE METRICS

Metric	FY2022	FY2023	FY2024	FY2025	Current
Asset turnover (x)	1.12	1.09	1.09	1.15	1.31
Current ratio (x)	0.88	0.99	0.87	0.89	1.00
Quick ratio (x)	0.71	0.84	0.75	0.77	0.81
Debt to equity (x)	2.61	1.99	2.09	1.52	0.78
Debt to EBITDA (x)	0.90	0.87	0.79	0.69	0.45

Source: Apple Inc. Form 10-K and Form 10-Q filings; ratio calculations by StockAnalysis.com. Current column reflects trailing twelve-month figures as of the most recent reported quarter.

Apple's current and quick ratios below 1.0 in most years reflect a deliberate capital structure choice, not distress: the company carries large current liabilities (accounts payable, accrued expense and short-term debt) against a balance sheet that also holds substantial short-term investments and generates over \$100 billion of annual operating cash flow, so near-term liquidity risk is minimal despite headline ratios that would be a warning sign in a less cash-generative business. Debt to EBITDA of well under 1 time, alongside a trailing net cash position, indicates a very low financial-leverage profile relative to the technology sector and to industrials or consumer companies of comparable scale.

B2. Risks

STRUCTURED RISK ASSESSMENT

Category	Principal risk	Probability	Impact
Business	Concentration in a single hardware category (iPhone) and a lengthening replacement cycle	Medium	High
Business	Revenue and manufacturing concentration in Greater China amid intensifying local competition	Medium	High
Financial	Currency translation exposure given Apple's large non-dollar revenue base	High	Low to Medium
Competitive	Loss of smartphone share to Samsung and Chinese manufacturers in price-sensitive markets	Medium	Medium
Technological	Lagging perception in generative artificial intelligence relative to some platform competitors	Medium	Medium
Regulatory	Antitrust and app-store commission rulings in the United States and European Union that reduce Services economics	High	Medium
Regulatory	Tariff and trade-policy changes affecting a global, China-concentrated supply chain	Medium	Medium
Macro	A consumer discretionary spending slowdown reducing device upgrade rates	Medium	Medium
Valuation	Multiple compression from a premium starting valuation if growth or margin trends disappoint	Medium	High

Reasoned: risk categories and probability and impact assessments are the analyst's own judgment, informed by Apple's public risk-factor disclosures and current market and regulatory conditions; they are not a guarantee of future outcomes.

Ranked by the combination of probability and potential impact, the three risks most capable of permanently impairing shareholder value are: first, a structural loss of pricing power or share in the iPhone franchise, given its outsized contribution to profit; second, an adverse and lasting regulatory outcome on App Store commissions that permanently reduces Services margin, since Services is the primary source of recent margin expansion; and third, a sustained deterioration in the Greater China business, both as an end market and as the geographic center of Apple's manufacturing base, which would pressure revenue and operating flexibility simultaneously.

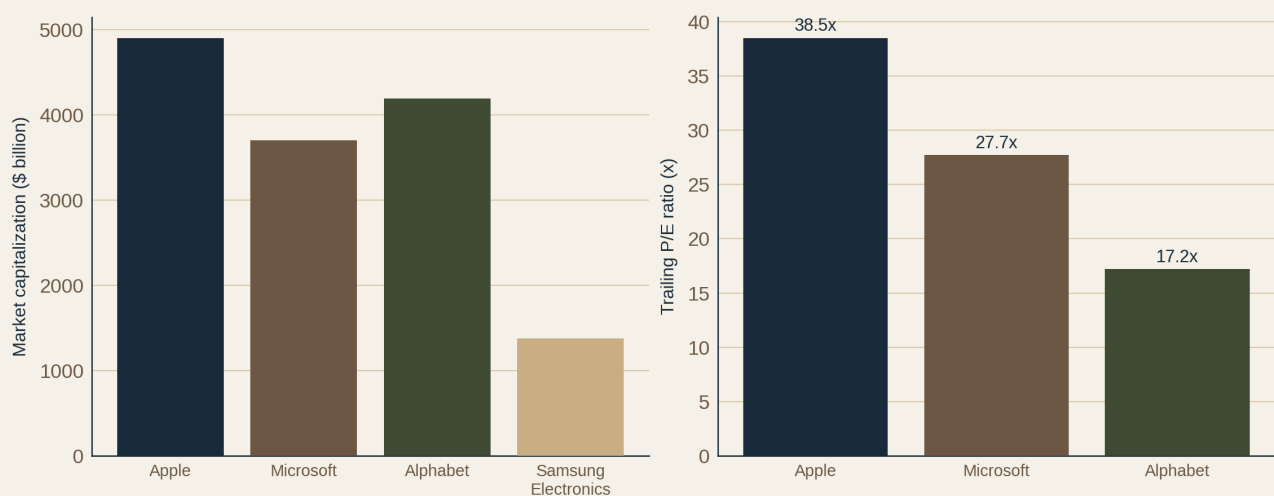
B3. Valuation

VALUATION MULTIPLES, APPLE VERSUS SELECTED PEERS

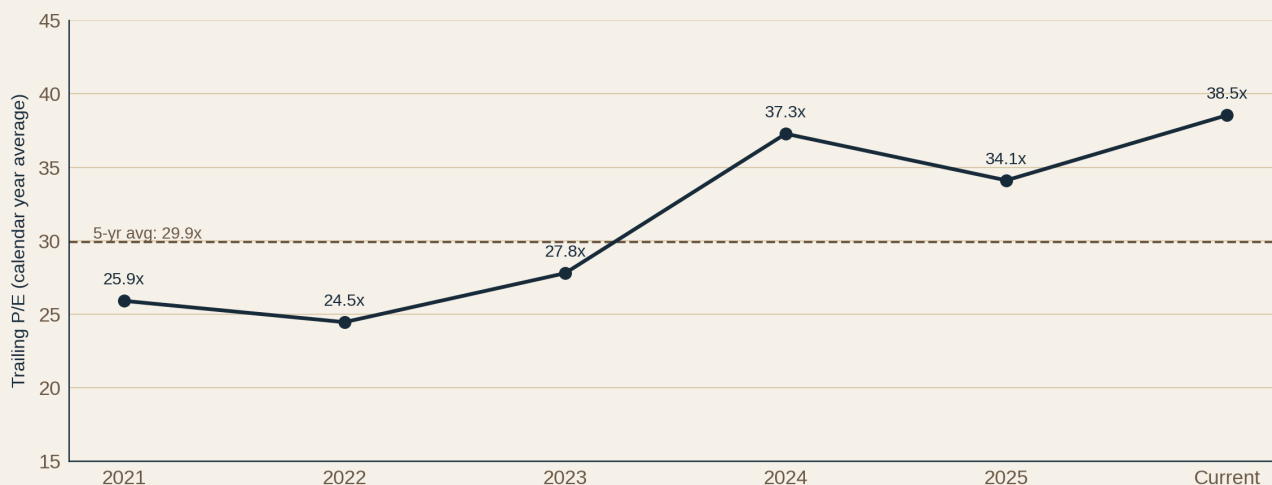
Company	Market Cap (\$bn)	Trailing P/E	Forward P/E	EV/EBITDA	P/FCF	Net Margin
Apple	4,900	38.5x	36.5x	28.8x	35.9x	26.9%
Microsoft	3,700	27.7x	25.2x	19.3x	55.2x	40.3%
Alphabet	4,190	17.2x	25.6x	23.5x	78.6x	54.8%
Samsung Electronics	1,373	n/a	n/a	n/a	n/a	n/a

Source: StockAnalysis.com and CompaniesMarketCap.com, data as of 24 September 2026. Samsung Electronics multiples marked not available were not independently verified to a comparable trailing basis at report time and are omitted rather than estimated. P/FCF is less meaningful for Alphabet and Microsoft in the near term given their elevated artificial-intelligence-related capital expenditure, which depresses free cash flow relative to reported earnings.

Peer Comparison: Market Capitalization and Trailing P/E



Source: StockAnalysis.com and CompaniesMarketCap.com, data as of 24 September 2026.

Apple Trailing P/E Ratio, Calendar-Year Average, 2021 to 2026

Source: FullRatio.com historical valuation data; current figure as of 22 September 2026.

Apple's trailing price-to-earnings ratio of 38.5 times sits roughly 55 percent above its own trailing ten-year average and above its own five-year average of approximately 30 times shown in the chart above, and above Microsoft and Alphabet on the same basis, though Apple's earnings quality (cash conversion, capital intensity) compares favorably with both. On a free-cash-flow basis, Apple's multiple of 35.9 times is below Microsoft's and well below Alphabet's, both of which are currently depressing free cash flow through heavy artificial-intelligence infrastructure spending, so the free-cash-flow comparison is not fully like for like at this point in the cycle.

ILLUSTRATIVE DISCOUNTED CASH FLOW (REASONED, CALCULATED BY THE ANALYST)

Using fiscal 2025 revenue of \$416.2 billion as a base, and assuming revenue growth stepping down from 8 percent in fiscal 2026 to 4 percent in fiscal 2030, with free-cash-flow margin rising gradually from 23.5 percent to 24.7 percent as the Services mix increases, projected free cash flow grows from approximately \$105.6 billion in fiscal 2026 to approximately \$137.5 billion in fiscal 2030. Discounting these cash flows and a terminal value at a range of discount rates and terminal growth rates, and adding back Apple's trailing net cash position, produces the per-share valuation range below.

DISCOUNTED CASH FLOW SENSITIVITY: IMPLIED VALUE PER SHARE

Discount rate (WACC)	Terminal growth 2.5%	Terminal growth 3.0%	Terminal growth 3.5%
7.5%	\$172	\$188	\$208
8.5% (base case)	\$144	\$154	\$167
9.5%	\$124	\$131	\$139

Calculated by the analyst. Assumptions: five-year explicit forecast, fiscal 2026 to fiscal 2030, revenue growth of 8.0 percent, 7.0 percent, 6.0 percent, 5.0 percent and 4.0 percent respectively; free-cash-flow margin of 23.5 percent rising to 24.7 percent; terminal value computed on a Gordon growth basis; net cash of approximately \$62.2 billion added to enterprise value; 14.59 billion diluted shares outstanding. This is a valuation range built on stated, conservative assumptions, not a precise fair-value estimate, and should not be read as a price target.

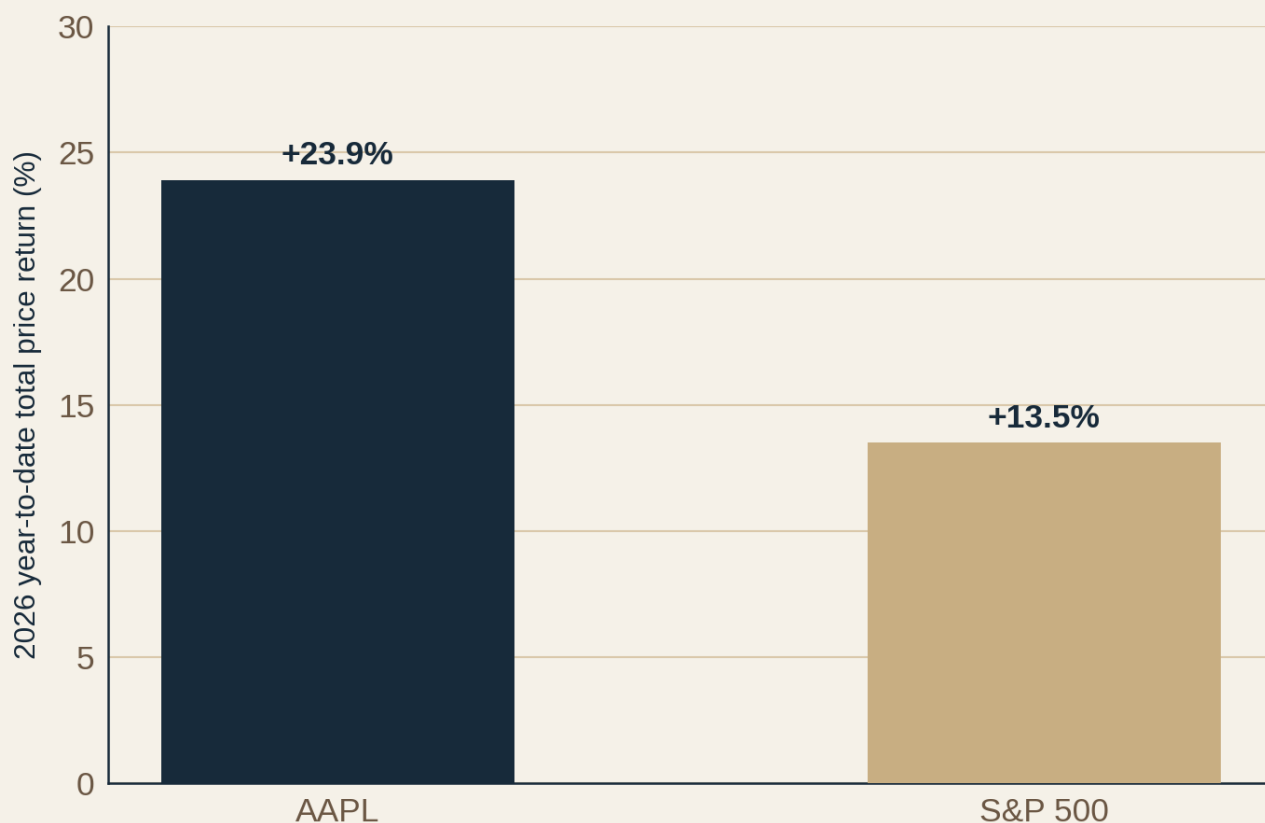
At a base-case discount rate of 8.5 percent, this framework implies a per-share value of approximately \$154, materially below the \$335.92 closing price at the report date. Solving in reverse, the current share price is consistent with a terminal free-cash-flow growth rate of approximately 6.3 percent in perpetuity at an 8.5 percent discount rate, well above the 2.5 to 3.5 percent range typically used for a mature, large-capitalization company, or, holding terminal growth at a more

conventional 3.0 percent, is consistent with a discount rate of only approximately 5.5 percent, below what is typically applied to equity cash flows even for the highest-quality companies. This does not mean the stock is mispriced; it means the market is pricing in either sustained above-trend growth, further margin expansion beyond what recent history would suggest, or is applying an unusually low required return to Apple's cash flows given their perceived stability and the scale of its capital-return program. Reasoned: this gap between a conservative discounted-cash-flow value and the market price is the central valuation question for a prospective investor in the stock at the report date.

B4. Capital Market and Stock Analysis

AAPL shares closed at \$335.92 on 24 September 2026, near the top of a 52-week range of \$243.42 to \$345.34, and up approximately 23.9 percent on a 2026 year-to-date basis through 24 September, compared with a gain of approximately 13.5 percent for the S&P 500 index over the same period, indicating meaningful outperformance versus the broad market this year after a period of underperformance in mid-2026.

2026 Year-to-Date Total Price Return: AAPL versus S&P 500



Source: StockAnalysis.com and ChartRow.com index data; period 31 December 2025 to 24 September 2026 (S&P 500 figure as of 23 September 2026).

The stock experienced a pronounced drawdown in June 2026, falling from the low \$300s to an intraday low near \$275 before recovering steadily through the northern-hemisphere summer to new 52-week highs in September 2026, a pattern consistent with a sharp, short-lived correction followed by a sustained recovery rather than a change in longer-term trend. As of the report date, the 50-day moving average of \$336.54 sits just above the 200-day moving average of \$322.77, a constructive but not extreme technical configuration, and the 14-day relative strength index of 47.1 indicates the stock is neither overbought nor oversold. Beta of 1.09 indicates volatility broadly in line with the market.

Reasoned: the technical structure, a price near its 52-week high with short-term and long-term moving averages both rising, is constructive and suggests positive near-term momentum, but this reflects trading behavior and should be weighed

separately from the fundamental valuation conclusion reached in Section B3, which flags the shares as expensive on a conservative discounted-cash-flow basis.

C. Financial Statements

All figures in this section are reported under United States GAAP as presented in Apple's Form 10-K filings for fiscal years 2021 through 2025 (fiscal years end on the last Saturday of September) unless stated otherwise. Values are reported unless labeled as derived or calculated.

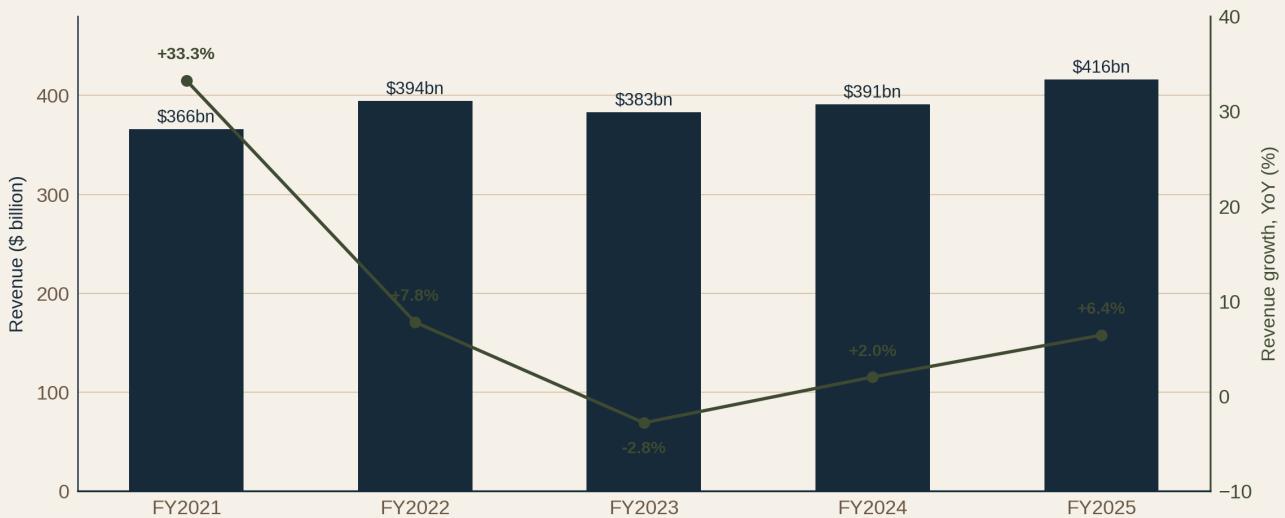
C1. Income Statement

CONSOLIDATED INCOME STATEMENT SUMMARY, FISCAL YEARS 2021 TO 2025 (\$ MILLION, REPORTED)

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	365,817	394,328	383,285	391,035	416,161
Revenue growth	33.3%	7.8%	(2.8%)	2.0%	6.4%
Gross profit	152,836	170,782	169,148	180,683	195,201
Gross margin	41.8%	43.3%	44.1%	46.2%	46.9%
Operating income	108,949	119,437	114,301	123,216	133,050
Operating margin	29.8%	30.3%	29.8%	31.5%	32.0%
Net income	94,680	99,803	96,995	93,736	112,010
Net margin	25.9%	25.3%	25.3%	24.0%	26.9%
Diluted EPS (\$)	5.61	6.11	6.13	6.08	7.46

Source: Apple Inc. Form 10-K filings, fiscal years 2021 through 2025, as compiled by StockAnalysis.com and cross-checked against reported totals. Research and development expense was \$34.6 billion in fiscal 2025 versus \$31.4 billion in fiscal 2024; selling, general and administrative expense was \$27.6 billion in fiscal 2025 versus \$26.1 billion in fiscal 2024.

Revenue and Year-over-Year Growth, Fiscal Years 2021 to 2025



Source: Apple Inc. Form 10-K filings, fiscal years 2021 through 2025.

Fiscal 2023's revenue decline of 2.8 percent reflected a soft macroeconomic and currency environment along with a cyclical pause in iPhone demand following the strong pandemic-era upgrade cycle; growth resumed modestly in fiscal 2024 and

accelerated to 6.4 percent in fiscal 2025 on renewed iPhone strength and continued double-digit Services growth. Margin expansion since fiscal 2023 has come primarily from Services mix shift rather than from hardware pricing alone, and operating leverage on selling, general and administrative expense has been a secondary contributor as revenue has grown faster than headcount and marketing spend.

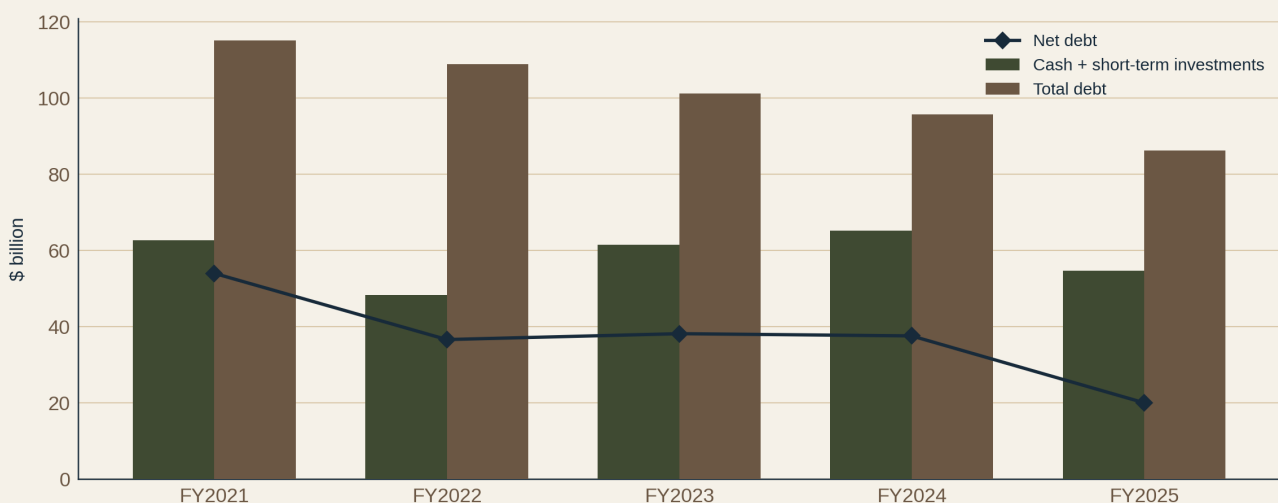
C2. Balance Sheet

CONSOLIDATED BALANCE SHEET SUMMARY, FISCAL YEARS 2021 TO 2025 (\$ MILLION, REPORTED)

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Cash and equivalents	34,940	23,646	29,965	29,943	35,934
Short-term investments	27,699	24,658	31,590	35,228	18,763
Total current assets	134,836	135,405	143,566	152,987	147,957
Property, plant and equipment, net	49,527	52,534	43,715	45,680	49,834
Total assets	351,002	352,755	352,583	364,980	359,241
Total current liabilities	125,481	153,982	145,308	176,392	165,631
Short-term debt	6,000	9,982	5,985	9,967	7,979
Long-term debt	109,106	98,959	95,281	85,750	78,328
Total liabilities	287,912	302,083	290,437	308,030	285,508
Total shareholders' equity	63,090	50,672	62,146	56,950	73,733
Retained earnings (accumulated deficit)	5,562	(3,068)	(214)	(19,154)	(14,264)
Net debt (calculated)	53,994	36,629	38,169	37,591	20,043

Source: Apple Inc. Form 10-K filings, fiscal years 2021 through 2025. Net debt is calculated as total short-term and long-term debt less cash, cash equivalents and short-term investments. As of the most recent reported quarter (three months ended 27 June 2026), Apple reported a net cash position of approximately \$62.2 billion, reflecting continued debt reduction since fiscal year-end 2025.

Cash and Short-Term Investments versus Total Debt, and Net Debt



Source: Apple Inc. Form 10-K filings, fiscal years 2021 through 2025; net debt calculated by the analyst.

Apple's accumulated deficit in retained earnings, a negative figure since fiscal 2022, is not a sign of financial distress; it is the mechanical result of returning more capital to shareholders through buybacks and dividends over the company's history than it has retained in cumulative net income, a deliberate and long-standing capital allocation choice rather than a red flag. Balance-sheet strength is high: leverage is low and falling, liquidity is ample once short-term investments and operating cash flow are considered alongside the current ratio, and there is no material goodwill or intangible-asset concentration risk, as Apple has grown overwhelmingly through internal development rather than large acquisitions. No material off-balance-sheet obligations or working-capital deterioration were identified in the fiscal 2025 filings reviewed for this report.

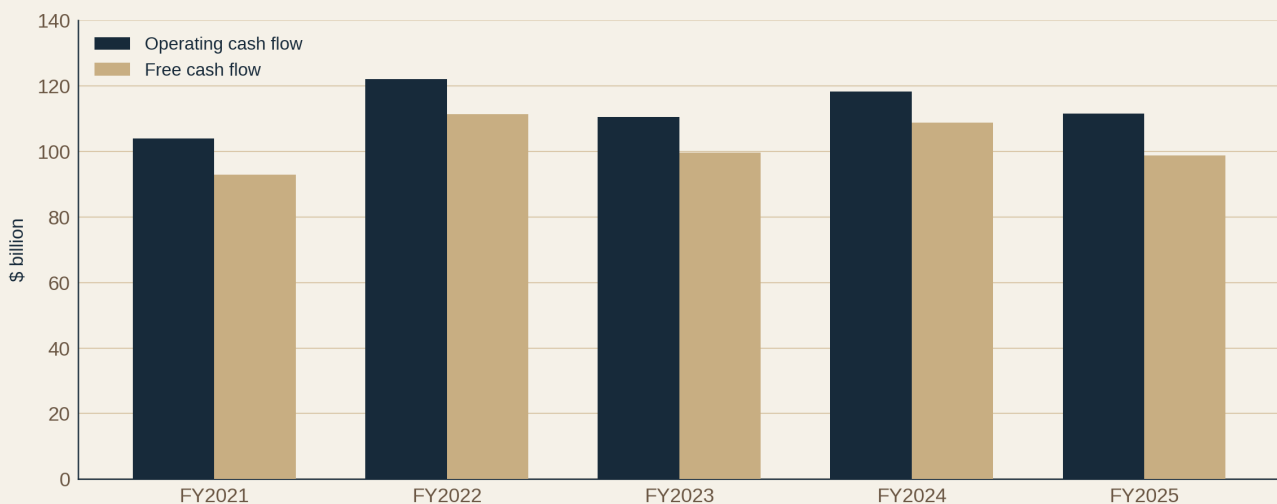
C3. Cash Flow Statement

CONSOLIDATED CASH FLOW SUMMARY, FISCAL YEARS 2021 TO 2025 (\$ MILLION, REPORTED)

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Operating cash flow	104,038	122,151	110,543	118,254	111,482
Capital expenditure	(11,085)	(10,708)	(10,959)	(9,447)	(12,715)
Free cash flow (calculated)	92,953	111,443	99,584	108,807	98,767
Dividends paid	(14,467)	(14,841)	(15,025)	(15,234)	(15,421)
Share repurchases	(92,527)	(95,625)	(82,981)	(100,390)	(96,671)
Financing cash flow	(93,353)	(110,749)	(108,488)	(121,983)	(120,686)

Source: Apple Inc. Form 10-K filings, fiscal years 2021 through 2025. Free cash flow calculated as operating cash flow less capital expenditure.

Operating Cash Flow versus Free Cash Flow, Fiscal Years 2021 to 2025



Source: Apple Inc. Form 10-K filings, fiscal years 2021 through 2025; free cash flow calculated by the analyst as operating cash flow less capital expenditure.

Apple converts net income into free cash flow at a rate consistently at or above 90 percent, evidence of high earnings quality: net income has not diverged materially from cash generation in any of the past five fiscal years. Financing outflows have exceeded free cash flow in three of the past five fiscal years, financed by drawing down the net cash and investment balance and selective debt issuance, underscoring the priority management places on capital return relative to balance-sheet accumulation. Capital expenditure of \$12.7 billion in fiscal 2025, though the highest of the five-year window, remained a modest 3.1 percent of revenue, and the increase is attributable in part to expanded data-center and custom-silicon capacity

supporting Apple's artificial-intelligence and Services roadmap rather than to core device manufacturing, which remains largely outsourced.

C4. Forecasting and Projections

REVENUE MODELING. Reasoned, calculated by the analyst: near-term revenue growth is likely to be led by Services, which grew approximately 13.5 percent in fiscal 2025 to \$109.2 billion, and by continued iPhone average-selling-price resilience rather than unit growth, given a largely saturated premium smartphone base in developed markets. Segment-level growth in fiscal 2025 was strongest in Services and Mac, both up double digits, while Wearables, Home and Accessories declined modestly, suggesting maturity in that category absent a new product cycle.

MARGIN PROJECTIONS. Gross margin is likely to continue drifting higher as Services, which carries gross margins estimated in the low seventies percent range versus hardware gross margins estimated in the high thirties to low forties percent range, becomes a larger share of revenue; the pace of expansion depends on how quickly Services growth outpaces hardware growth. Operating leverage on selling, general and administrative expense has room to continue given Apple's large fixed retail and corporate cost base relative to its revenue growth trajectory, while research and development intensity, at 8.3 percent of revenue in fiscal 2025, is likely to rise modestly given continued investment in custom silicon and artificial intelligence.

WORKING CAPITAL AND CAPITAL EXPENDITURE. Apple's working-capital model is structurally favorable, as the company collects from customers faster than it pays suppliers in aggregate, a dynamic supported by its retail and prepaid services revenue. Capital expenditure is expected to remain a low single-digit percentage of revenue, with the main variable being the pace of data-center investment to support cloud-based artificial-intelligence features, an area where Apple has historically spent far less than Microsoft, Alphabet or Amazon relative to revenue.

SCENARIO ANALYSIS (REASONED). In a base case, revenue grows in the mid-to-high single digits annually through fiscal 2030, led by Services and stable iPhone pricing, with free-cash-flow margin drifting toward the mid-twenties percent range. In a bull case, a successful new hardware category or an accelerated on-device artificial-intelligence upgrade cycle lifts iPhone unit growth and average selling prices simultaneously, pushing revenue growth into the low double digits with margin expansion ahead of the base case. In a bear case, Greater China revenue continues to decline, developed-market iPhone replacement cycles lengthen further, and adverse App Store regulation compresses Services margin, holding revenue growth in the low single digits with margins roughly flat.

C5. Discounted Cash Flow Model

The discounted cash flow framework and sensitivity table are presented in Section B3 alongside the valuation discussion, in keeping with the structure of this report. In summary, the model uses a five-year explicit forecast from fiscal 2026 through fiscal 2030 built on the revenue and margin assumptions set out in Section C4, discount rates from 7.5 percent to 9.5 percent, and terminal growth rates from 2.5 percent to 3.5 percent, producing an implied per-share value range of approximately \$124 to \$208, with a base case of approximately \$154 per share at an 8.5 percent discount rate and 3.0 percent terminal growth. This range sits meaningfully below the report-date share price, and the reverse-engineered assumptions required to justify the current price are discussed in Section B3.

C6. Leveraged Buyout Model

A leveraged buyout framework is not economically meaningful for Apple and is not presented as a valuation method in this report. Reasoned: at a market capitalization of approximately \$4.90 trillion, Apple is several multiples larger than any leveraged buyout completed in history, and its business does not exhibit the characteristics, such as under-levered assets, depressed but improvable margins, or a fragmented ownership base seeking an exit, that typically make a company an

economically plausible buyout candidate. Apple's own capital structure and shareholder-return program, an unlevered balance sheet returning nearly all free cash flow through buybacks and dividends, is the more relevant capital-allocation lens for this company and is analyzed in Sections A7 and C3.

D. Investment Thesis

Bull Case

Apple materially outperforms current expectations if Services revenue sustains mid-teens percentage growth for several more years, if a new hardware form factor such as a foldable iPhone drives an above-trend replacement cycle and lifts average selling prices, and if on-device and cloud artificial-intelligence features meaningfully increase engagement and upgrade rates across the installed base. Continued execution on capital return, combined with a falling share count, would then compound earnings-per-share growth faster than revenue growth alone, and a market willing to sustain or extend the current premium multiple would translate that earnings growth directly into share-price appreciation.

Bear Case

If iPhone replacement cycles continue to lengthen, if Greater China revenue keeps declining as local competitors gain share, and if regulatory action in the United States or European Union structurally reduces App Store commission economics, Services growth would slow just as hardware growth stalls, compressing the operating leverage story that has driven margin expansion since fiscal 2023. Combined with a valuation that already sits well above Apple's own historical range, any disappointment on growth or margins could produce a simultaneous earnings shortfall and multiple compression, a materially adverse combination for the shares.

Base Case

The most probable scenario, in the analyst's judgment, is continued mid-to-high single-digit revenue growth led by Services and stable iPhone pricing, gradual gross-margin expansion toward the high forties percent range, and a continuation of the current capital-return program at a broadly similar scale. Under this base case, earnings-per-share growth outpaces revenue growth due to margin expansion and share-count reduction, but the shares would need to sustain a valuation multiple above their own historical average to deliver returns commensurate with that earnings growth, given the gap identified in Section B3 between the current price and a conservative discounted-cash-flow value.

Catalysts

- Quarterly earnings releases, with the next scheduled for late October 2026, particularly commentary on holiday-quarter iPhone demand and Services growth.
- New product launches, including any confirmation of a foldable iPhone or expanded on-device artificial-intelligence features.
- Regulatory developments in the United States and European Union affecting App Store commission structures.
- Progress updates on the new chief executive's strategic priorities following the September 2026 leadership transition.
- Continued share repurchase execution under the \$100 billion authorization announced in April 2026.
- Trends in Greater China revenue, a swing factor for both growth and sentiment.

Things to Monitor

Metric or event	Why it matters	What would be positive	What would be negative
Services revenue growth rate	Primary driver of margin expansion	Growth sustained at or above 12 to 14 percent	Deceleration toward high single digits
Greater China revenue	Swing factor for growth and manufacturing risk	Stabilization or return to growth	Continued year-over-year decline
iPhone average selling price	Indicator of pricing power and mix	Stable or rising average selling price	Discounting to defend unit volume
Gross margin trend	Reflects Services mix and cost discipline	Continued gradual expansion	Unexpected compression
App Store regulatory rulings	Direct impact on Services economics	Outcomes preserving current commission structure	Rulings mandating materially lower commissions
New chief executive's strategic commentary	Signals continuity or change in capital allocation and product strategy	Continuity of capital discipline and product cadence	Signs of strategic drift or delayed product decisions

E. Final Investment Framework

BUSINESS QUALITY	Very high. An integrated hardware, software and services ecosystem with switching costs that have persisted across product cycles and a leadership transition.
FINANCIAL QUALITY	Very high. Elite margins, strong free-cash-flow conversion above 90 percent of net income, and a net cash balance sheet.
COMPETITIVE POSITION	Strong overall, with the clearest points of pressure in Greater China smartphone share and in generative artificial-intelligence positioning relative to some platform peers.
MANAGEMENT	A newly completed but carefully planned leadership transition, with public commitments to continuity of capital discipline from both the incoming chief executive and chief financial officer.
INDUSTRY	Mature in hardware unit volumes, structurally transforming in services and artificial intelligence, with rising regulatory attention to app-store economics.
VALUATION	Elevated. Trailing and forward price-to-earnings multiples above Apple's own historical average and above most large-capitalization technology peers on an earnings basis; a conservative discounted-cash-flow framework implies meaningfully lower per-share value than the report-date price.
TECHNICAL AND MARKET STRUCTURE	Constructive. Shares trade above both the 50-day and 200-day moving averages near a 52-week high, with year-to-date performance ahead of the S&P 500.
PRINCIPAL RISK	A structural loss of pricing power or share in the iPhone franchise, compounded by continued weakness in Greater China.
PRINCIPAL CATALYST	Sustained double-digit Services growth combined with a successful new hardware cycle under the new chief executive.
KEY VARIABLE	The growth rate and durability of Services revenue, which is the primary driver of both margin expansion and the market's willingness to pay a premium multiple.
THESIS INVALIDATION	The investment thesis would become materially weaker if Services revenue growth fell below high single digits for two or more consecutive fiscal years, if Greater China revenue declined for three or more consecutive fiscal years, or if App Store-related regulation reduced Services gross margin by more than a low double-digit number of percentage points on a sustained basis.

F. Data Table

STANDARDIZED COMPANY SNAPSHOT

Category	Metric	Current	Prior Year	5-Year Trend
Market	Market capitalization	\$4.90tn	\$3.78tn	Rising
Market	Enterprise value	\$4.84tn	n/a	Rising
Market	Share price	\$335.92	\$228.87 (approx.)	Rising
Growth	Revenue growth	6.4%	2.0%	Volatile, positive
Profitability	Gross margin	46.9%	46.2%	Expanding
Profitability	Operating margin	32.0%	31.5%	Expanding
Profitability	Net margin	26.9%	24.0%	Expanding
Profitability	Return on equity	148.8%	171.4%	High, declining as equity base grows
Profitability	Return on invested capital	101.6%	92.7%	Rising
Cash Flow	Operating cash flow	\$111.5bn	\$118.3bn	Range-bound, high
Cash Flow	Free cash flow	\$98.8bn	\$108.8bn	Range-bound, high
Leverage	Net debt / EBITDA	0.45x	0.69x	Falling
Valuation	P/E	38.5x	37.3x (FY24 avg.)	Rising, above historical average
Valuation	EV/EBITDA	28.8x	n/a	Elevated
Valuation	P/FCF	35.9x	n/a	Elevated
Market	Beta	1.09	n/a	Broadly market-like
Market	52-week range	\$243.42 - \$345.34	n/a	Wide

Source: figures as sourced and calculated throughout this report; fiscal-year figures from Apple Inc. Form 10-K filings, market figures from StockAnalysis.com as of 24 September 2026. Prior-year share price is the approximate closing price one year before the report date, derived from available historical data points; treated as an approximation and labeled accordingly.

G. Sources and Methodology

Primary Sources

- Apple Inc.** Form 10-K, fiscal year ended 27 September 2025, filed with the U.S. Securities and Exchange Commission. Filed October 2025. Used for five-year income statement, balance sheet and cash flow data, business description and risk factors.
- Apple Inc.** Fourth Quarter and Fiscal Year 2025 Results, Consolidated Financial Statements. apple.com/newsroom, October 2025. Used for segment and geographic revenue and operating expense detail.
- Apple Inc.** Third Quarter Fiscal Year 2026 Results press release. apple.com/newsroom, 30 July 2026. Used for most recent quarterly revenue, margin and cash flow commentary.
- Apple Inc.** Second Quarter Fiscal Year 2026 Results and related filing announcing an incremental \$100 billion share repurchase authorization. apple.com/newsroom and SEC EDGAR, 30 April 2026. Used for capital-return program detail.
- Apple Inc.** Leadership transition announcement: Tim Cook to become Executive Chairman, John Ternus to become Chief Executive Officer. apple.com/newsroom, 20 April 2026, effective 1 September 2026. Used for management section.

Secondary Sources

- Fortune**, coverage of Apple's fiscal second-quarter 2026 results and incoming leadership team. fortune.com, 1 May 2026. Used for management transition context.
- Al Jazeera**, "John Ternus succeeds Tim Cook as Apple CEO after 15 years." aljazeera.com, 1 September 2026. Used to confirm the effective date of the leadership transition.
- 9to5Mac** and **MacRumors**, coverage of Apple's fiscal third-quarter 2026 results. 9to5mac.com and macrumors.com, 30 July 2026. Used to cross-check quarterly revenue and margin figures.

Market Data

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Calculations

- Analyst calculations:** free cash flow (operating cash flow less capital expenditure), net debt (total debt less cash, equivalents and short-term investments), the discounted cash flow valuation range and sensitivity table in Section B3, and the reverse-engineered implied growth and discount rate figures in Section B3. Prepared by Arthur Faugeron, September 2026, using reported figures cited above as inputs.

Fiscal year references follow Apple's own fiscal calendar, which ends on the last Saturday of September; fiscal 2025 accordingly ended on 27 September 2025 and fiscal 2026 will end in late September 2026. Percentages are shown to one decimal place and dollar figures are shown in millions or, at the summary level, in billions, consistently within each table. All monetary figures are in United States dollars unless otherwise noted.

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